JUDGMENT SHEET

IN THE LAHORE HIGH COURT LAHORE
JUDICIAL DEPARTMENT

W.P No.24811 of 2015
Murree Brewery Company Limited

Versus

Province of Punjab through its Chief Secretary & others

JUDGMENT

Date of Hearing.	09-06-2016
PETITIONERS BY:	Mr. Shahid Hamid and Mrs. Ayesha Hamid, Advocates in W.P No.24811/15, Syed Irteza Ali Naqvi, Advocate in W.P No.21927/15.
RESPONDNETS BY:	M/s Nasar Ahmad D.A.G, Samia Khalid, A.A.G. Rizwan Ahmad Sherwani, Director E & T. Mian Abid Zia, Law Officer, E & T, Deptt. Lahore.

Shahid Karim, J:- This petition under Article 199 of the Constitution of Islamic Republic of Pakistan, 1973 (**Constitution**) lays a challenge to the Notification No.SO(E&M)/2-3/2011 dated 24.06.2015 (**impugned Notification**) issued by the Secretary Excise & Taxation, Government of the Punjab, Excise & Taxation Department, upon the powers having been exercised by the Governor of the Punjab in terms of sections 31 and 32 of the Punjab Excise Act, 1914 (**Act, 1914**).

2. The impugned Notification reads as under:

> *"No.SO(E&M)/2-3/2011 (P-II). In exercise of the powers conferred under sections 31 and 32 of the Punjab Excise Act, 1914 (I of 1914), Governor of the Punjab is pleased to discontinue the application of the administrative policy of "duty follows consumption" and is further pleased to direct that Still Head Duty at the rates notified by the Excise & Taxation Department vide Notification No.SO(EXCIE)(E&T)2-3/2005 dated 30.06.2005 shall be levied and recovered on all Pakistan Made Foreign Liquor and Beer meant for consumption outside Province of the Punjab as well.*
>
> *2. This Notification shall come into force on and from 01st July, 2015."*

3. It is clear from a reading of the impugned Notification that the Notification extends the application of an earlier Notification dated 30.06.2005 to all Pakistan Made Foreign Liquor and Beer meant for consumption outside Province of Punjab as well. In terms of the earlier Notification dated 30.06.2005, still head duty at certain rates had been notified by the Governor of Punjab. It seems that previously those rates, as notified in the Notification dated 30.06.2005, were not levied and recoverable on the goods mentioned in the impugned Notification. This has given a cause of action to the petitioners who, in a nub, contend that the imposition by the impugned Notification is tantamount to the levy of export

duty on the goods being manufactured by the petitioners and consumed outside the Province of Punjab.

4. This judgment shall decide a connected petition W.P No.21927 of 2015, which has been brought by Sindh Wine Merchant Welfare Association through its President and which has called in question the impugned Notification as well on substantially the same grounds as in the instant petition.

5. The learned counsel for the petitioners Mr. Shahid Hamid, Advocate briefly alluded to the history of the present litigation. According to him, on 20.10.1997 a Notification was issued by the Government of the Punjab which was attacked by filing a constitutional petition by the petitioner, and which Notification was struck down by this Court in a judgment reported as 2001 CLC 42. Under the Notification of 20.10.1997, in exercise of the powers conferred by Section 31 of the Punjab Excise Act, 1914 (**Act, 1914**), the Governor of Punjab was pleased to direct the levy and recovery of export duty at the rate stated in the said

Notification on Pakistan Made Foreign Liquor (**PMFL**) and Beer meant for export to other provinces. Primarily relying upon Article 151 of the Constitution, it was held by this Court that:

> *"7. It will be seen that Article 151(1) lays done that subject to clause (2), trade, commerce and intercourse throughout Pakistan shall be free. Article 151(2) empowers the Parliament to impose restriction on the above freedom as may be required in the public interest. Article 151(3) is in negative from and prohibits the Provincial Assembly or a Provincial Government to do the things mentioned in clauses (a) and (b). For the case, the relevant provision is that Provincial Government shall not have power to impose a tax, which, as between the goods manufactured or produced in the Province and similar goods manufactured or produced in any area in Pakistan, tends to discriminate is in favour of the former. In other words by imposing the impugned duty the respondent-Government has discriminated between the goods produced by the petitioner and the goods produced by the rivals in Sindh and Balochistan. However, this discrimination does not seem to be, in favour of the petitioner and as such may not be hit by Article 151(3)(b). the impugned levy impinges upon the freedom, as enshrined in Article 151(1). Reliance of Mrs. Nasira, Advocate on Mirpurkhas Sugar Mills Ltd. v. District Council, Tharparkar and 2 others 1990 MLD 317, Sayphire Textile Mills Ltd. and 9 others v. Government of Sindh and others PLD 1990 Kar. 402 is correct. In the first case the export tax imposed by Zila Council on the Sugar produced by the petitioners therein was declared as violative of the Constitutional provisions. In the second case also the export duty imposed upon the*

> *products of the petitioners-Mills was not upheld on the touchstone of Article 151 of the Constitution. Learned counsel also relied on Atiabari Tea Co. Ltd. v. The State of Assam and others AIR 1961 SC 232 and on perusal of the judgment the reliance again seems to be correct. I, therefore, hold that impugned imposition of export duty is violative of Article 151(1) of the Constitution."*

6. It can be seen from a reading of the portion of the judgment reproduced above that the Lahore High Court was of the opinion that the impugned levy impinges upon the freedom as enshrined in Article 151 (1) of the Constitution. It was thus held to be violative of free trade clause in Article 151 of the Constitution.

7. The learned counsel for the petitioners have made a frontal attack on the Still head duty whose operation has been extended by the impugned Notification to PMFL and Beer consumed outside the Province of Punjab to submit that it is in pith and substance the export duty which was struck down by this Court in the precedent cited above. According to him, the Government of the Punjab has sought to achieve indirectly what it could not achieve directly and the effect would be virtually the same. The learned counsel has drawn the attention

of this Court to paragraphs 9, 10 and 12 of the petition in order to substantiate the oral arguments made in this behalf and to bring home the submission regarding the discrimination to have been meted out to the petitioner in this regard. It has been averred that by the impugned Notification Still head duty has been extended to PMFL and Beer when it is consumed outside the Province of Punjab and which has the effect of rendering the petitioners as uncompetitive in the markets of Province of Sindh to which 75% of the petitioner's exports relate. In accordance with the policy of "duty follows consumption" as spelt out in the Punjab Excise Manual, Vol. III, the petitioners were not liable to pay still head excise duty levied by the Government of the Punjab and were only liable to pay the duty imposed by the Government of Sindh under the Sindh Abkari Act, 1878. This had the effect of keeping the price of the petitioners' PMFL products competitive and commercially viable in the Province of Sindh. This has been described as an Administrative policy in the impugned Notification and in simple terms meant that the duty levied at the place of actual consumption ought to be paid irrespective the place of its manufacture. A chart, which has been prepared and brought forth in paragraph 10 of the petition, underscores the contention raised by the learned counsels for the petitioners. That chart depicts that:

A. PMFL Products:

Ex-Distillery price	Rs.1,000/-	Per L.P. gallon
Sindh Excise Duty (inclusive of Vend Fee)	Rs.2,160/-	Per L.P. gallon
Sales Tax @ 17%	Rs.537/-	Per L.P. gallon
Sub-total:	Rs.3,697/-	Per L.P. gallon

B. Beer:

Ex-Brewery price	Rs.177/-	Per liter
Sindh Excise Duty (inclusive of Vend Fee	Rs.76/-	Per liter
Sales Tax @ 17%	Rs.43/-	Per liter
Sub-total:	Rs.296/-	Per liter

8. By the impugned Notification, the learned counsel for the petitioners passionately submit that the administrative policy of "duty follows consumption" has been thrown to the winds and instead still head duty has been levied and held payable on all PMFL products and Beer exported outside the Province of Punjab as well w.e.f. 01.07.2015. The consequences which flow from the imposition and compulsory exaction under the

impugned Notification have been brought forth in paragraph 12 in the following terms:

> *"As a consequence of the impugned notification the prices of the petitioner's PMFL products and beer in Sindh (Karachi) with effect from 01.07.2015 will be/become as under:*

A. PMFL Products:

Ex-Distillery price	Rs.1,000/	Per L.P. gallon
Punjab Still Head Excise Duty	Rs.600/	Per L.P. gallon
Sindh Abkari Act Excise Duty(inclusive of Vend Fee)	Rs.2160/	Per L.P. gallon
Sales Tax @ 17%	Rs.639/-	Per L.P. gallon
Total:	Rs.4,399/	Per L.P. gallon

B. Beer:

Ex-Brewery price	Rs.177/-	Per liter
Punjab Still Head Excise Duty	Rs.12/-	Per liter
Sindh Abkari Act Excise Duty(inclusive of Vend Fee)	Rs.76/-	Per liter
Sales Tax @ 17%	Rs.45/-	Per liter
Total:	Rs.310/-	Per liter

9. It indubitably follows that an amount of Rs.600/- per L.P. Gallon has been added to the price of the PMFL products and Rs.12/- to Beer consumption over and above the price at which

these products were being sold and consumed in the Province of Sindh prior to the promulgation of the impugned Notification.

10. The learned counsel for the petitioners has made a frontal attack on the imposition of still head duty by the impugned Notification and his entire reliance is on the free trade provision embodied in Article 151 of the Constitution. This Article reads as under:

> ***151. Inter-Provincial trade.--****(1) Subject to clause (2), trade, commerce and intercourse throughout Pakistan shall be free.*
>
> *(2) [Majlis-e-Shoora (Parliament)] may by law impose such restrictions on the freedom of trade, commerce or inter-course between one Province and another or within any part of Pakistan as may be required in the public interest.*
>
> *(3) A Provincial Assembly or a Provincial Government shall not have power to--*
>
> *(a) make any law, or take any executive action, prohibiting or restricting the entry into, or the export from, the Province of goods of any class or description, or*
>
> *(b) impose a tax which, as between goods manufactured or produced in the Province and similar goods not so manufactured or produced, discriminates in favour of the former goods or which, in the case of goods manufactured or produced outside the Province discriminates between goods manufactured or produced in any area in Pakistan and similar goods manufactured or produced in any other area in Pakistan.*

> *(4) An Act of a Provincial Assembly which imposes any reasonable restriction in the interest of public health, public order or morality, or for the purpose of protecting animals or plants from disease or preventing or alleviating any serious shortage in the Province of any essential commodity shall not, if it was made with the consent of the President, be invalid.*

11. The learned Assistant Advocate General on behalf of the Government of the Punjab controverts the submissions made by the learned counsel for the petitioners. She submits that the Government of the Punjab is empowered and has the constitutional basis of levying duties of excise in terms of Item No.44 of the Federal Legislative List contained in 4th Schedule of the Constitution according to which the legislative domain of the Parliament does not include duties of excise of alcoholic liquor, opium and other narcotics. According to the A.A.G., there is no warrant for the proposition that the still head duty under the impugned Notification could not have been extended to the products of the petitioner as they are manufactured in the Province of Punjab and have been validly and lawfully imposed. She has also argued that neither any provision of law nor the Constitution bars the Government of the Punjab from the levy of the duty of excise. The still head

duty which has been extended to the PMFL and Beer products is a valid piece of legislation under the delegated powers conferred by law.

Historical Perspective:

12. The provenance of the power to impose a levy in the nature of duty of excise can be traced to Item No.44 of the Federal Legislative List, 4th Schedule of the Constitution. The learned counsel for the parties are on common ground that the duties on alcoholic liquor, opium and other narcotics is within the legislative domain of the Provincial Assembly. It is also not in dispute that the Still head duty under challenge is a duty of excise. The Act, 1914 is the law which empowers the Province of the Punjab to impose a levy the duty of excise. By section 16(a) of the Act, 1914, no intoxicant shall be imported, exported or transported except after payment of any duty to which it may be liable under the Act. Section 31 grants to the Provincial Government to impose a duty on any excisable articles at such rate or rates as may be determined. The duty may be imposed on any excisable article which is imported, exported or transported,

manufactured or cultivated or manufactured in any distillery established or any distillery or brewery under section 21.

13. The administrative policy embodying the rule "duty follows consumption" is derived from clause 3.22 of Vol. III in the Punjab Excise Manual. In its preface of Punjab Excise Manual is given the extent and scope underlying the Manual. According to the preface, the Volume contains the important executive instructions of the financial commissioner and supersedes all such instructions given in Vol. III of the Punjab Excise Manual, 1934. Clause 3.22 is reproduced as under:

> *"3.22 The Conference of the Finance Members of all the provinces in British India held at Celhi in November, 1928, to consider the regulation of all transactions relating to the inter provincial export and import of excisable articles laid down the principle that "duty should follow consumption."*

14. The learned A.A.G has made a reference to letter dated 29.11.1997 in order to complete the historical narrative in the present petitions. The letter had been written by the Secretary Excise & Taxation, Punjab and is addressed to the Secretary

Excise & Taxation Department of the other Provinces. It has been stated in the letter that:

> *"Presently the principle of "Duty Follows Consumption" is being followed while exporting liquor to other provinces. Same principle applies to the liquor imported into Punjab from other provinces, manufactured there. For the liquor and Beer manufactured in Murree Brewery Company the Duty is recovered in Punjab at the time of manufacture and at the rates prescribed by the importing province and it is later on refunded to the province of consumption as laid down in Section 3.22 of the Punjab Excise Manual (Vol-III). There arose a dispute when the province of Sindh unilaterally started issuing duty paid permits and ultimately the release of export of liquor and Beer form Punjab was refused by the province of Punjab. As a result, the Muree Brewery Company approached the Supreme Court of Pakistan through a Constitutional petition and the August Court in a settlement order of the dispute also directed that the issues may be settled with negotiations among the provinces."*
>
> *"4. In the light of the above deliberations, a Summary was submitted to the Chief Minister, Punjab with the following:*
>
> *i. That the Excise and Taxation Department may be allowed to charge Excise Duty (Export Duty) at the following rates on the liquor being exported to other provinces :-*
>
> *a) Beer @ Rs-1/-per litre.*
>
> *b) P.M.F.L. @ Rs.40/- per gallon.*
>
> *(The levy of above export Duty is in line with the provisions of Section 31 & 32 of the Punjab Excise Act, 1914)*
>
> *ii. The Punjab Government may agree to allow the Government of Sindh and other*

> *provincial Governments to recover still head Duty on their own in order to avoid accumulations of payable on this account by the Punjab Government.*
>
> *5. The Chief Minister, Punjab vide his order, dated 11.10.1997 has agreed with the above proposals and issued directions for the implementation of proposal at para 4 above."*

15. This letter seems to be the precursor to the Notification which was impugned in the judgment reported as (**2001 CLC 1842**). It refers to a dispute having arisen between the Province of Sindh and Province of Punjab, which was taken to the Supreme Court of Pakistan and by whose orders negotiations took place between the Provinces and as a result the letter dated 29.11.1997 was issued. It will also be noticed that the letter recommends the imposition of an export duty as a duty of excise and which had the approval of the Chief Minister, Punjab vide order dated 11.10.1997.

16. Article 151 of the Constitution has a legal pedigree to which reference has been made by Mr. Nasar Ahmad, D.A.G. According to him, the Article has its source in section 297 of the Government of India Act, 1931. It read as under:

> *"297.—(1) No Provincial Legislature or Government shall—*

> *a) by virtue of the entry in the Provincial Legislative List relating to trade and commerce within the Province, or the entry in that list relating to the production, supply, and distribution of commodities, have power to pass any law or take any executive action prohibiting or restricting the entry into, or export from, the Province of goods of any class or description; or*
>
> *b) by virtue of anything in this Act have power to impose any tax, cess, toll, or due which, as between goods manufactured or produced in the Province and similar goods not so manufactured or produced, discriminates in favour of the former, or which, in the case of goods manufactured or produced outside the Province, discriminates between goods manufactured or produced in one locality and similar goods manufactured or produced in another locality.*
>
> *(2) Any law passed in contravention of this section shall, to the extent of the contravention, be invalid."*

17. The Constitution of 1956 contained Article 119 relating to Inter Provincial Trade and was to the following effect:

> *"119. Inter-Provincial trade. –No Provincial Legislature or Provincial Government shall have power—*
>
> *(a) to pass any law, or take any executive action, prohibiting or restricting the entry into, or export from the Province of goods of any class or description ; or*
>
> *(b) to impose any taxes, cesses, tolls or dues which, as between goods manufactured or produced in the Province and similar goods not manufactured or produced, discriminate in favour of the former, or which in the case of goods manufactured or produced outside*

the Province discriminate between goods manufactured or produced in any locality and similar goods produced in any other locality :

Provided that no Act of a Provincial Legislature which imposes any reasonable restriction in the interest of public health, public order or morality shall be invalid under this Article if it is otherwise valid under the Constitution ; but any Bill for this purpose passed by the Provincial Assembly shall be reserved for the assent of the President, and shall not become law unless the President assents thereto."

18. Similarly, the 1962 Constitution gave expression to the concept by inserting Article 142, which read as under:

"142. Inter-Provincial trade.—(1) Subject to clause (2) of this Article, the Legislature of a Province shall not have power—

(a) to make any law prohibiting or restricting the entry into, or the export from, the Province of any goods : or

(b) to impose a tax which, as between goods manufactured or produced in the Province and similar goods not to manufactured or produced, discriminates in favour of the former goods or which in the case of goods manufactured or produced outside the Province, discriminates between goods manufactured or produced in any locality in Pakistan and similar goods produced in any other locality in Pakistan.

(2) No Provincial Law which imposes any reasonable restriction in the interest of the public health, public order or morality or for the purpose of protecting animals or plants from disease or preventing or alleviating any serious shortage in the Province of any essential commodity shall, if it was made with

the consent of the President, be invalid by reason of this Article."

19. It will be seen that section 297 of the Government of India Act, 1935 is couched in the same terms as clause 3 of Article 151 of the Constitution whereas Article 119 of the 1956 Constitution is based on section 297 of the Government of India Act, 1935. Clause (1) of Article 151 with which we are concerned here is only subject to clause (2) of Article 151. Clauses (1) and (2) of Article 151 were an original contribution to the doctrine of Inter-Provincial trade and significantly alters the periphery of that doctrine in the context of our Constitution. At first blush, it does two things; one, it firmly grounds the right of freedom of Inter-Provincial trade in emphatic terms; second, the power to make law to impose restriction on that right has been reposed in the Parliament and that too in the public interest only. The precise tenor and sweep of Article 151 shall be dilated upon in the proceeding paragraphs of this judgment.

20. The learned D.A.G also placed on record the legislative debates which took place in the National

Assembly of Pakistan during the course of Constitution making. The debates relating to Article 151 of the Constitution are contained in an official report published on March 26, 1973. Mr. Abdul Hafeez Pirzada, the mover of the Article had this to say regarding the scope of the Article:

> *"Mr. Abdul Hafeez Pirzada : *sir, this is an extremely important Article. We were guilty of certain omissions in a similar Article under the Interim Constitution which resulted in some very serious troubles between the Provinces. Goods manufactured in one Province were put at disadvantage by imposition of takes so as to destroy the market for those goods in a particular Province. It makes the price so high and incompetetive that people would refrain from buying those goods. In one country, with one economic system and with one economy, this Article is absolutely necessary, and I am glad to see that there is no serious resistance to this Article inasmuch as mere nominal amendments have been suggested by one or two persons, a few amendments which were not even moved. Now here, Sir, I consider it appropriate because this has been an important matter and a very important matter dealing with the Federation—Provinces relationship and also the distribution of power and check authority that is to be exercised by the Federation over the Provinces. I would like to read from paragraph 9 of the Charter of Demands submitted by Prof. Ghafoor Ahmad on behalf of the so-called United Democratic Front to the President of Pakistan, and I would like this to go on record, because Opposition are failing in their duty to come and participate in the task of Constitution-making and in their absence, it is my duty to inform the House*

> *what the Opposition, or certain members of the National Assembly sitting across the floor, think about these provisions and what their so-called supporters, political supporters outside the House, under the name of the so-called United Democratic Front also think. This is all that has been said in respect of the relations between the Centre and the Provinces in the Charter of Demands, and I would not have made in public, but since they have themselves made it public in their press conference on the 24th, I will be justified in reading out before this august House, .. "No change in the Legislative List both Federal and Concurrent is desired". This is the stand taken by them. Only minor procedural adjustments are suggested. That is all that they have to say with regard to the distribution of power and division of subjects between the Centre and the provinces and inter-Provincial or Federation-Provinces relationship. They have only suggested very very minor amendments of procedure and legislation and that particular Article has been deferred and no discussion has taken place. Therefore, if no amendments are coming forward on this part of the Constitution, it is understandable because only deduction that we can draw is that no one has any serious objection on this very tricky and sensitive part."*

21. The learned D.A.G premised his arguments on the judgment of Chief Justice Marshall of the U.S Supreme Court in *Brown v. State of Maryland, 25 U.S 419 (1827).* This judgment is the foundational judgment on the commerce clause as embodied in Article I, section 8 of the U.S Constitution and which regulates commerce with foreign Nations and among the several States.

American lawyers and judges typically refer to these words as the "commerce clause".

22. In all interpretation, and in particular the Constitution, we have to look to the enacted constitutional text. If the text is clear and expressed in precise statutory language, the interpretation process must not stray outside the Constitution's text. In the prefatory remarks to *Reading Law: The Interpretation of Legal Texts by Antonin Scalia and Bryan A. Garner,* the authors said that:

> *"The legal instruments that are the subject of interpretation have not typically been slapped together thoughtlessly but are the considered expression of intelligent human beings. In whatever age or culture, human intelligence follows certain principles of expression that are as universal as principles of logic. For example, intelligent expression does not contradict itself or set forth two propositions that are entirely redundant. Lapses sometimes occur, but they are departures from what would normally be expected."*

23. In *Reading Law,* the authors approved of the 'Fair Reading' method, in any textual interpretation, in the following words:

> *"The interpretive approach we endorse is that of the "fair reading": determining the application of a governing text to given facts on the basis of how a reasonable reader, fully competent in the language, would have*

understood the text at the time it was issued…"

24. Among the best historical statements of the fair-reading approach is that of Chief Justice John Marshall:

> *"To say that the intention of the instrument must prevail; that this intention must be collected from its words; that its words are to be understood in that sense in which they are generally used by those for whom the instrument was intended; that its provisions are neither to be restricted into insignificance, nor extended to objects not comprehended in them, nor contemplated by its framers;—is to repeat what has been already said more at large, and is all that can be necessary."*
>
> *Ogden v. Saunders, 25 U.S (12 Wheat.) 213, 332 (1827).*

25. The fair-reading approach ought to be the preferred method of interpretation to be employed while making sense of the provisions of Art. 151 of the Constitution. The counsels for the petitioners submit that the impugned Notification does not comport with the Constitution and imposes current burdens and must be justified by current needs. As *Laurence H. Tribe* remarked famously in American, Constitutional Law (3rd Ed. 2000), 'In the beginning was the word,' and so the words and the text of Art. 151 and the setting of that provision in

the scheme of the Constitution will bring forth its effect. While doing so, the deathless lines of *Chief Justice John Marshall (of the US Supreme Court) in McCulloch v. The State of Maryland 17 U.s. 316 (1819) must resonate in our minds: "We must never forget that it is a constitution we are expounding.*" In construing the Art.151, the aspect of constitutional 'structure' is of special importance. The concept of the Federal system of government and Federalism will come out starkly as the central theme which permeates the length and breath of the constitution and on which the constitutional fabric is woven. Closely related to this is the doctrine that every word in the text of the Constitution has to be given effect and purpose and the intention that it conveys. Laurence H. Tribe in American Constitutional Law (3rd Ed. 2000) stated that:

> *"Structural analysis is appropriate not only in order to flesh out the contours and context of federalism-based limits on the national government or to fill in the elements of the separation of powers, but also in order to give shape and substance to enumerated rights."*

26. Chief Justice Rehnquist (US Supreme Court) employed structural analysis in *Nevada v Hall, 440 U.S. 410, 433 (1979)* to reason that:

> *"a constitution is necessarily built on certain postulates or assumptions….The Court has often had to rely on notions of constitutional plan—the implicit ordering of relationship within the federal system necessary to make the constitution a workable governing charter and to give each provision within that document the full effect intended by the Framers. The tacit postulates yielded by that ordering are as much engrained in the fabric of the document as its express provisions."*

27. The impugned Notification must yield to the test laid down by Chief Justice John Marshall in *McCulloch v The State of Maryland 17 U.S. 316 (1819)* while squaring it against Art. 151 of the Constitution. It was stated that:

> *"Let the end be legitimate, let it be within the scope of the Constitution, and all means which are appropriate, which are plainly adapted to that end, which are not prohibited, but consist with the letter and spirit of the Constitution, are Constitutional."*

28. Article 151 is in the same mould as Article I, section 8 of the US Constitution which in common parlance, is known as the commerce clause. It reads as under:

> *"Section 8. The Congress shall have Power To lay and collect Taxes, Duties, Imposts and Excises, to pay the Debts and provide for the common Defence and general Welfare of the United States; but all Duties, Imposts and Excises shall be uniform throughout the United States;*
>
> *To borrow money on the credit of the United States;*

To regulate Commerce with foreign Nations, and among the several States, and with the Indian Tribes;

To establish an uniform Rule of Naturalization, and uniform Laws on the subject of Bankruptcies throughout the United States;

To coin Money, regulate the Value thereof, and of foreign Coin, and fix the Standard of Weights and Measures;

To provide for the Punishment of counterfeiting the Securities and current Coin of the United States;

To establish Post Offices and Post Roads;

To promote the Progress of Science and useful Arts, by securing for limited Times to Authors and Inventors the exclusive Right to their respective Writings and discoveries;

To constitute Tribunals inferior to the supreme Court;

To define and punish Piracies and Felonies committed on the high Seas, and Offences against the Law of Nations;

To declare War, grant Letters of Marque and Reprisal, and make Rules concerning Captures on Land and Water;

To raise and support Armies, but no Appropriation of Money to that Use shall be for a longer Term than two Years;

To provide and maintain a Navy;

To make Rules for the Government and Regulation of the land and naval Forces;

To provide for calling forth the Militia to execute the Laws of the Union, suppress Insurrections and repel Invasions;

To provide for organizing, arming, and disciplining, the Militia, and for governing such Part of them as may be employed in the Service of the United States, reserving to the States respectively, the Appointment of the Officers, and the Authority of training the Militia *according to the discipline prescribed by Congress;*

To exercise exclusive Legislation in all Cases whatsoever, over such District (not exceeding ten Miles square) as may, by Cession of particular States, and the Acceptance of Congress, become the Seat of the Government of the United States, and to exercise like Authority over all Places purchased by the Consent of the Legislature of the State in which the Same shall be, for the Erection of Forts, Magazines, Arsenals, dock-Yards, and other needful Buildings;--- And

To make all Laws which shall be necessary and proper for carrying into Execution the foregoing Powers, and all other Powers vested by this Constitution in the Government of the United States, or in any Department or Officer thereof."

29. It is said that:

"The brevity of this clause belies the fact that its interpretation has played a significant role in shaping the concepts of federalism and the permissible uses of national power throughout our history…..The history of the commerce clause adjudication is, in a very real sense, the history of the concepts of federalism as well as the development of doctrines supporting a specific federal power" (Treaties on Constitutional Law, Ronald D. Rotunda and John E. Nowak, fifth edition).

30. Juxtaposing Art. 151 of our Constitution with the commerce clause of US Constitution would bring forth that there is no parallel provision to clause (1) of Art. 151 in the US Constitution. Clause (2) however replicates and echoes the spirit of the commerce clause. As if this was not enough, the framers of our Constitution, by drawing from the treatment which the US Supreme Court had

given this clause throughout each stage in its history and its interpretation of the commerce power, enacted clauses (1) and (2) in order to leave nothing to imagination and reinforce and drive home the federal form of the Constitution. Article 151 epitomisis the spirit of federalism not to be undone by subterfuge or an evasive device. Clauses (1) and (2), read together, sufficiently indicate that issues of Inter-Provincial Trade, commerce and intercourse have centered on the ability of the Parliament to regulate commerce among the Provinces. Clause (1) has been culled out from the American experience and is a leaf out of the Australian Constitution.

31. There are distinguishing features between the American commerce clause and Art. 151 but those merely relate to the means employed. The end it achieves is a common goal. Art. 151 of our Constitution is more emphatic, and without equivocation. It enjoins all Inter-Provincial trade and commerce to be free and resides all power to legislate, and thereby to regulate, in the Parliament lest the freedom to trade and carry out commerce be shackled by the Provinces in any manner.

32. The first major review of the Article I power was made in *McCulloch v Maryland, 17 U.S (4 wheat.) 316, 4 L.Ed. 579 (1819)* in his inimitable way by Chief Justice John Marshall. The case involved an elaboration of the 'Necessary and Proper' powers of the Congress to incorporate a bank. Akhil Reed Amar (Intertextualism, 112 Harv. L. Rer. 747 (1999), and one of the collections in '*It is a Constitution we are expounding*' , foreword by *Laurence H. Tribe*) has described *McCulloch* to be 'the most central case in our constitutional canon.' *McCulloch* laid the contours for broad but theoretically finite Federal power that states may not obstruct. The proper place of *McCulloch* was further elaborated upon by *Akhil Reed Amar* as:

> *"McCulloch's claim to canonical primacy, however rests on more than its doubly significant substance affirming generous congressional power in the first half of the opinion and important limits on state governments in the second half. Perhaps uniquely among the four top contenders, McCulloch commands our attention not merely for what it says but for how it says, featuring a richer mixture of elegant constitutional arguments of various types than its rivals. To read, McCulloch is to see how to do constitutional argument."*

33. The construction of Art. 151 is a clarion call on us 'to see how to do constitutional argument'. In order to extract meaning from such significant feature of the Constitution as Art. 151, we must look to its embedment in history, its attention to institutional architecture and its aim to make good sense in the real world.

34. In Brown v Maryland, 25 U.S (12 Wheat.) 419, 6 L.Ed.678 (1827) (relied upon by the learned DAG), the Court "invalidated a state statute which imposed a license fee or tax on wholesale importers….the tax conflicted with the commerce clause and the power of congress to regulate and permit the sale of imports. Here Marshall described the power of Congress as the power to regulate commercial intercourse which reached into a state." *(Treaties on Constitutional Law, Ronald D. Rotunda and John E. Nowak, fifth edition)*

35. Another significant case is *Gibbons v Ogden,* 22 U.S. (9 Wheat.) 1, 6 L.Ed.23 (1824) in which Chief Justice Marshall examined the scope of both Federal and State powers under the commerce clause. For our purposes, Marshall defined

commerce as 'intercourse' (used in Art. 151) and that Congress had the power to regulate "that commerce which concerns more states than one." In his opinion, "*like all others vested in Congress, is complete in itself, may be exercised to its utmost extent, and acknowledges no limitations other than are prescribed in the Constitution…the only commercial activities which were immune from federal power, and reserved for state or local regulation, were those which were completely within a state, and which do not affect other states, and with which it is not necessary to interfere, for the purpose of executing some of the general powers of the government.*"

36. The above observations are the essence of Art. 151 as well. Where there is commerce which concerns more states then one', the power lies with the Parliament and a Province cannot regulate that activity. Thus commercial activities 'which were completely within a State, 'were immune from federal power, only. The rest must yield in favour of federal commerce power.

37. *Chief Justice Marshall* once wrote:

> *"Where the mind labors to discover the design of the legislature, it seizes everything from which it can be derived".*
>
> [*United States v. Fisher, 6 U.S. (2) Cranch) 358, 386 (1805).*]

38. Article 151 of the Constitution is found in Chapter 2, relating to administrative relations between Federation and Provinces. It starts with Article 145 by which the President may direct the Governor of any Province to discharge as his agent such functions relating to such areas in the Federation which are not included in any Province. By Article 146, inter alia, the Parliament by an Act may confer power and impose duty upon a Province or officers and authorities thereof. Likewise, by Article 147, the Government of a Province may, with the consent of the Federal Government, entrust to the Federal Government or to its officers functions in relation to any matter to which the executive authority of the Province extends. Article 148 obliges a Province to exercise its executive authority so as to secure compliance with federal laws which apply in that Province. Article 149 also imposes an obligation on a Province to exercise its

executive authority so as not to impede or prejudice the exercise of the executive authority of the Federation and correspondingly the executive authority of the Federation shall extend to the giving of such directions to a Province as may appear to the Federal Government to be necessary for that purpose. Then comes Article 151 which relates to Inter Provincial Trade. It enjoins that trade, commerce and intercourse through Pakistan shall be free.

39. A reading of the Articles in Chapter 2 of the Constitution, brings forth ineluctably that these Articles have imbued the spirit of the federalism into the structure of the Constitution. In fact, these provisions have reinforced the concept of federalism on which is predicated the constitutional representative democracy which is at the heart of this document. A purely original and textualist approach based on what the founding fathers meant would lead to the conclusion that Article 151 gave expression to the important concept of federalism which underlies the scheme of the Constitution. It is a repository of the powers to vest in the Federal

Government with regard to trade, commerce and intercourse throughout Pakistan. Also by clause (2) that power has come to reside in the Parliament to , by law, impose such restrictions on the freedom of trace, commerce or intercourse between one Province and another or within any part of Pakistan as may be required in the public interest. It follows, therefore, that a Provincial legislature is not empowered to enact a law which imposes such a restriction and it was with this intention that clause (1) stated in emphatic terms that the trade, commerce and intercourse throughout Pakistan shall be free. Legislative history has always been treated as worthwhile aid to ascertain the intention behind an enactment and in particular a constitutional document. The speech of Abdul Hafeez Pirzada, the then Law Minister, who introduced the constitutional bill has been reproduced above. In a nub, the basic intention for enacting clauses (1) and (2) of Article 151 was based on experience from disputes which arose due to the omissions in a similar Article under the Constitution which resulted in unsavory situations. The fundamental factor which prompted the framers of the

Constitution to insert these clauses is reiterated in the followings words:

> *"Goods manufactured in one Province were put at disadvantage by imposition of taxes so as to destroy the market for those goods in a particular Province. It makes the price so high and incompetent that people would refrain from buying those goods. In one country, with one economic system and with one economy this Article is absolutely necessary."*

40. The words reproduced above are most pertinent in the facts and circumstances of the case. This is the entire crux of the arguments of the learned counsel for the petitioners that their goods are put at a disadvantage by the imposition of Still-head duty and which has the effect of virtually destroying the market of those goods in the Province of Sindh. If the intention of the framers of the Constitution was to obviate possibility of such a course of action to take place and to thwart any attempt by one Province to impose a tax or a duty without the regard for its consequences, then the present levy must be held to be *ultra vires* as it has precisely the same effect as was contemplated by the framers of the Constitution.

41. The entire concept of Article 151 will be rendered nugatory and facile if the measure under challenge was allowed to stand. This also runs counter to the doctrine of federalism on which our Constitution is based.

42. What the Constitution says by Article 1, clause (1) of the Constitution is that "*Pakistan shall be Federal Republic to be known as the Islamic Republic of Pakistan, hereinafter referred to as Pakistan*". Pakistan is a Federal Republic with a parliamentary form of government both at the Centre and in the Provinces. Federalism, according to Dicey, is a political contrivance for a body of states which desire union but not unity. The meaning of federalism was explained in *A.G. v. Colonial Sugar Refining Company 1940 A.C 237* as follows:

> *"In a loose sense the word "federal" may be used, as it is there [i.e., in the British North America Act of 1867] used, to describe any arrangement under which self-contained states agree to delegate their powers to a common government with a view to entirely new constitutions even of the states themselves. But the natural and literal interpretation of the word confines its application to cases in which these states, while agreeing on a measure of delegation, yet in the main*

> *continue to preserve their original constitutions."*

43. It is stated that oldest federal model in the modern world can be said to be the Constitution of the U.S.A. In *Constitutional Interpretation by Craig R. Duct and Harold W. Chase, 5th ed. page 355*, 'federalism' has been defined as:

> *"Federalism is one of the hallmarks of the American political system. Briefly put, it can be defined as a principle of government which provides for the division of powers between a national government and a collection of state governments operating over the same geographical area. As a design for the operation of government, this concept is as fraught with conflict as would be the game plan of a football team with two quarterbacks."*

44. It was held in the case of *McCulloch* that it is a special feature of federal system of government that the powers of sovereignty are divided between federation and the federating units. These federating units are called States in the U.S.A. and Provinces as in Pakistan.

45. The concept of federalism can be traced to the Federalist Papers. The Federalist Papers remained the best and most authoritative explanation of the content and meaning and interconnections of the U.S Constitution. These

Papers were written as a prelude to the Constitution. These were written by Alexander Hamilton, James Madison and John Jay who penned a series of short essays which came to be known as the Federalist Papers. In Federalist No.31, Alexander Hamilton described the general power of taxation in a federal form of government thus:

> *"It should not be forgotten that a disposition in the State governments to encroach upon the rights of the Union is quite as probable as a disposition in the Union to encroach upon the rights of the State governments. What side would be likely to prevail in such a conflict, must depend on the means which the contending parties could employ toward insuring success. As in republics strength is always on the side of the people, and as there are weighty reasons to induce a belief that the State governments will commonly possess most influence over them, the natural conclusion is that such contests will be most apt to end to the disadvantage of the Union; and that there is greater probability of encroachments by the members upon the federal head, than by the federal head upon the members. But it is evident that all conjectures of this kind must be extremely vague and fallible: and that it is by far safest course to lay them altogether aside, and to confine our attention wholly to the nature and extent of the powers as they are delineated in the Constitution. Every thing beyond this must be left to the prudence and firmness of the people; who, as they will hold the scales in their own hands, it is to be hoped, will always take care to preserve the constitutional equilibrium between the general and the State governments. Upon this ground, which is evidently the true one, it will not be difficult*

to obviate the objections which have been made to an indefinite power of taxation in the United States."

46. Similarly, in Federalist No.42, James Madison dilated upon the power to regulate commerce among the several states which was the power envisaged by Article I, Section 8 of the U.S Constitution in the following manner:

> *"…I shall confine myself to a cursory review of the remaining powers comprehended under this third description, to wit: to regulate commerce among the several States and the Indian tribes; to coin money, regulate the value thereof, and of foreign coin; to provide for the punishment of counterfeiting the current coin and securities of the United States; to fix the standard of weights and measures; to establish a uniform rule of naturalization, and uniform laws of bankruptcy, to prescribe the manner in which the public acts, records, and judicial proceedings of each State shall be proved, and the effect they shall have in other States; and to establish post offices and post roads.*
>
> *The defect of power in the existing Confederacy to regulate the commerce between its several members, is in the number of those which have been clearly pointed out by experience. To the proofs and remarks which former papers have brought into view on this subject, it may be added that without this supplemental provision, the great and essential power of regulating foreign commerce would have been incomplete and ineffectual. A very material object of this power was the relief of the States which import and export through other States, from the improper contributions levied on them by the latter. Were these at liberty to regulate the trade between State and State, it must be*

> *foreseen that ways would be found out to load the articles of import and export, during the passage through their jurisdiction, with duties which would fall on the makers of the latter and the consumers of the former. We may be assured by past experience, that such a practice would be introduced by future contrivances; and both by that and a common knowledge of human affairs, that it would nourish unceasing animosities, and not improbably terminate in serious interruptions of the public tranquility. To those who do not view the question through the medium of passion or of interest, the desire of the commercial States to collect, in any form, an indirect revenue from their non-commercial neighbors, must appear not less impolitic than it is unfair; since it would stimulate the injured party, by resentment as well as interest, to resort to less convenient channels for their foreign trade. But the mild voice of reason, pleading the cause of an enlarged and permanent interest, is but too often drowned, before public bodies as well as individuals, by the clamors of an impatient avidity for immediate and immoderate gain…"*

47. In *American Constitution, a biography , Akhil Reed Amar* discussed the conceptual basis for Article I, Section 8 and the historical perspective in which the founding fathers grappled with the issue and the hard questions of federalism, separation of powers and rights. He states:

> *"The longest section of the Constitution's longest Article aimed to enumerate the main powers of Congress and thereby resolved hard questions of federalism, separation of powers, and rights. Some of the powers not given to Congress would reside with the states; others would be wielded by the president and federal*

courts; and still others simply lay beyond the proper scope of all government and were thus reserved to the people.

The federalism issue, in its previous incarnations, had torn the British Empire apart in the mind-1770s and had bedeviled America's first efforts at continental coordination in the mind-1780s. Prior to 1763, a rough working arrangement had emerged within the empire, whereby each provincial American assembly decided matters of taxation and internal affairs while London regulated trade among different parts of the whole and promulgated general foreign policy. In most colonies, a resident governor appointed in England could irreversibly veto all assembly bills, which could also be set aside by the British Privy Council. Then came the 1765 Stamp Act, the 1767 Townshend Duties, the 1773 Tea Act, and the 1774 Coercive Acts, by which Parliament asserted authority to saddle the colonists with newfangled internal taxes, other revenue-seeking duties, and a variety of intrusive internal regulations. Outraged, some advanced American thinkers in the mid-1760s laid the intellectual groundwork for complete American independence from Parliament. Under their sweeping theory, provincial assemblies and Parliament simply shared a common king, and Parliament itself had no direct authority over the provinces. Most American patriots before 1775 took a more moderate position. Essentially, moderates proposed to constitutionalize an early version of federalism by codifying the working arrangement that had prevailed before 1763: Provincial assemblies should retain power over internal matters and taxes while Parliament and the king could continue to manage imperial trade, continental defense, and foreign affairs."

"In response, Americans ultimately declared their independence not just from the old empire but also from old ideas of sovereignty.

Led by Wilson, American legal theorists in the 1780 conceptually relocated sovereignty from Parliament to the people themselves, and thereby fashioned an intellectual framework facilitating the constitutionaliztion of federalism, separation of powers, and limited government. In this new framework, no single government entity had, or of right ought to have, all power. Sovereignty originated and remained with the people, who could parcel out and reclaim discrete chunks of power as they saw fit. Thus, the people could divide power howsoever they chose between their state and continental officers, or among different branches within the continental government. Or they could choose to withhold some powers from all governments.

The challenge confronting America in 1787 was to avoid both a dangerously strong central regime (Parliament) and a dangerously weak one (the Confederation Congress). Between these two extremes, two visions of national power emerged at Philadelphia. The first, which ultimately prevailed, aimed to vest Congress with ample authority over interstate and international affairs for the geostrategic reasons soon to be elaborated in the early Federalist essays. The second, unsuccessfully championed by Madison, sought to add to these powers a general federal veto of state laws, in keeping with the more ambitious vision of union on display in the Federalist No.10."

48. *Akhil Reed Amar*, in the same book elaborately dealt with the commerce clause, its genuineness and the modern view of today's U.S Supreme Court. It was, in the words of the author, a way of harmonizing relations between states and:

"Next came words giving Congress power "to regulate Commerce with foreign Nations, and

among the several States, and with the Indian Tribes." Modern lawyers and judges typically refer to these words as the "commerce clause," and today's Supreme Court has moved toward reading the paragraph as applicable only to economic interactions."

"Under a broad reading, if a given problem genuinely spilled across state or national lines, Congress could act. Conversely, a problem would not truly be "with" foreign regimes or "among" the states, so long as it remained wholly internal to each affected state, with no spillover. On this view, legal clarity might be advanced if lawyers and judges began referring to these words not as " the commerce clause," but rather as "the international-and-interstate clause" or the "with-and-among clause."

"Several other clauses aimed to further harmonize relations between the states, in keeping with the expansive vision sketched out in Jay/Publius's Federalist No.2. Uniform bankruptcy rules would stabilize interstate lending practices and spur a national market in negotiable instruments, just as continental standards for copyrights and patents would create a broad New World market for authors and inventors. Standard weights and measures, federal post offices and post roads, a continental money supply alongside uniform regulations of foreign currency—all these would help knit far-flung Americans together, economically and socially."

49. It was held in *Gopalan v. Secretary of State (1950) SCJ 174 (293)* that:

"The great problem of any federal structure is to prevent the growth of sectional and local interests which are inimical to the interests of the nation as a whole. The strength of the Union may be achieved only by minimizing inter-State barriers as much as possible, so that the people may feel that they are the

> *members of one nation, though they may, for the time being, be residents of particular geographical divisions of the country. One of the means to achieve this object is to guarantee to every citizen the freedom of movement throughout the territory of the Union, and also to reside and settle in any part thereof, which we have already noticed."*

50. The progress of a country as a whole also requires free flow of commerce and intercourse as between different parts, without any barrier so that the economic resources of the various parts may be exploited to the common advantage of the entire nation. This is particularly essential in a federal system. *(Bowie, Studies in Federation, page 926).* Also Cardozo J., a great constitutional jurist wrote about American Constitution thus:

> *"The American Constitution was framed upon the theory that the peoples of the several States must sink or swim together, and that in the long run prosperity and salvation are in union and not division. What is ultimate is the principle that one State in its dealing with another may not place itself in a position of economic isolation."*
>
> *(Baldwin v. G.A.F. Inc., (1935) 294 US 511.*

Challenge of Government of the Punjab to Petitioners' Standing and other Submissions.

51. Mrs. Samia Khalid, learned Asst. Advocate General, made a passionate defence of the impugned levy. She challenged the standing of the petitioners

to bring the instant petitions. This threshold challenge raised by the learned A.A.G should receive a short shrift. She has primarily relied upon two judgments in supports of her challenge. The first is *Messrs Nishat Talkies and another v. The Director/Collector, Excise and Taxation, Karachi and another* (**PLD 1976 Kar. 712**). In this case, the levy of entertainment duty was called in question. The Karachi High Court repelled the challenge on the ground that the petitioners did not have the standing to lay the challenge and to bring the petitions on the ground that the entertainment duty was in respect of payment for admission to entertainment and not on the proprietor of the entertainment and on the rule of passing on of the duty, the proprietor was merely made liable to the recovery of entertainment duty in respect of the payment of the entertainment. The incidence of duty, therefore, fell on the persons admitted to entertainment and not on the proprietor of the entertainment who had brought the challenge. It is obvious, therefore, that this judgment is not applicable to the facts of the present case as the still-head duty (excise duty) has been imposed on the petitioners and the action to pass on the incidence of duty may not arise at all in these cases since the primary grievance of the petitioners is that the goods are likely to become incompetetive and, therefore, may not be purchased by the ultimate consumers to whom the duty is likely to be passed on. Therefore, the question of the passing on of the incidence of duty becomes irrelevant.

52. Next case relied upon by the learned A.A.G. is a Supreme Court judgment reported as *Province of Balochistan through Secretary Excise & Taxation Department, Quetta and 2 others v. Murree Brewery Company Ltd. through Secretary* (**2007 PTD 1195**). In this case, the Province of Balochistan had imposed a permit fee on the import of liquor. The petitions were dismissed by the Supreme Court of Pakistan on the ground that the license fee had not been imposed on the petitioners who were the manufacturers and suppliers of liquor but had been imposed on businesses which were licensed to sell these products in Balochistan. Therefore, the permit fee was imposed on the licensees in Balochistan and a challenge by the manufacturers of these products

was unsustainable. It can be seen that in this case as well the permit fee had to be borne by the licensees who imported the goods manufactured by the petitioners in that case and not by the petitioners whereas in the instant cases, the duty has been levied directly on the petitioners as manufacturers and, therefore, the judgment cited by the learned A.A.G is distinguishable in all respects.

53. It will be recalled that the challenge in these petitioners is to the levy of still-head duty on Pakistan Made Foreign Liquor (**PMFL**). The learned A.A.G submits that the power is derived from item No.44 of the Federal Legislative List, 4th Schedule by which the duties of excise fall under the legislative domain of the Federal legislature except Alcohol liquors. This proposition is not disputed by the parties and is common ground. Therefore, the levy in question in these petitions has its source in section 31 and 32 of the Punjab Excise Act, 1914. The learned A.A.G submits that the Province of Punjab has the legislative authority to impose excise duty on the manufacturing done by the petitioners and no dispute can be raised with regard

to that power. It is in the exercise of that power that the levy has been extended vide the impugned Notification. The learned A.A.G. has alluded to the legislative and executive history of the principle of "duty follows consumption" which has throughout been followed while exporting liquor to other Provinces and the decision to this effect can be traced to the conference of various finance members held in 1923 by which decision, the excise duty on liquors used to follow consumption and could be charged only in the respective states in which liquor was consumed. It is also conceded that the still-head duty has historically been charged by the Punjab Government but it was recovered by the respective Provinces where the liquor was being consumed. The impugned Notification practically terminates the decision of the conference of finance members held in 1923. It is submitted that the levy is not a new tax and has always been imposed and exacted on the manufacturers such as the petitioners. The taxing event, according to the learned A.A.G, is complete when liquor is manufactured in the Province of Punjab irrespective of whether it is used Intra-Province or exported out of the Province and that taxing event attracts levy of tax irrespective of consequent events. Since the levy is, in pith and substance, an excise duty on the production and manufacture of liquor and can, therefore, be levied at that stage irrespective of its movement subsequently.

54. The primary submissions of the learned A.A.G are unexceptionable and even the learned counsel for the petitioners do not doubt the actuality of that analysis. However, the accord between the parties ends there. The petitioners, as stated above, do not dispute the power of the Provincial legislature to impose an excise duty but submit that that power is subject to Article 151 and is circumscribed by the conditions delineated therein.

55. I will now advert to the case law cited and relied upon by the learned A.A.G. Two judgments were at the heart of the submissions by the learned A.A.G and I will refer to those judgments only. The first precedent is *Messrs Quetta Textile Mills Limited through Chief Executive v. Province of Sindh through Secretary Excise and Taxation,*

Karachi and another (**PLD 2005 Kar. 55**), a judgment by Single Bench of Karachi High Court. The issue in the judgment was a challenge to a Cess for maintenance and development of infrastructures used for goods and imposed through the Sindh Finance (Amendments) Ordinance, 2001 as amended by the Sindh Finance (Second Amendment) Ordinance, 2001. The cess was imposed on the value for carriage by road and smooth and safer movement in the Province upon entry or before leaving the Province from or for outside the country, through air or sea. The ground of challenge was regarding the levy being *ultra vires* the Constitution, in that, the cess was in fact customs duty and was within the exclusive legislative competence of Federal Legislative List. However, the second ground of attach is relevant for the purpose of these petitions. That ground was on the basis of Article 151 of the Constitution and the submission of the learned counsel for the petitioners was that by Article 151, trade, commerce and intercourse throughout Pakistan shall be free and the imposition of cess was an abridgement of that right. Upon a reading of the judgment of the Karachi High Court, it becomes evident that;

I. the levy was sought to be uniformly applicable on all goods and was meant for infrastructure development;

II. the levy was on goods upon entering the Province of Sindh which meant that it was imposed on goods, without exception entering the Province of Sindh and not merely to a class of goods;

III. the levy was on exports from the country which is not the case here; and

IV. it was not the case of the petitioners in those petitions that the goods of the petitioners would become incompetitive vis-à-vis similar goods in the other Provinces.

56. The Karachi High Court firstly held the levy of cess to be something of a hybrid but in substantial sense to be tax. Thereafter, the Karachi High Court proceeded to discuss the nature of the cess and held that:

> *"When examining the impugned levy, it is clear that the Infrastructure Development Cess has been imposed on the carriage of goods within the boundaries of the Province of Sindh, for the use of the infrastructure maintained by the Province of Sindh. Such levy by no means restricts nor prohibits entry*

> *or exit of the goods for and from the Province…"*

57. The Karachi High Court entirely relied upon a judgment of the Supreme Court of Pakistan which shall be dealt with herein below but it can be seen that the primary reason for upholding the levy by the Karachi High Court was the compensatory nature of the cess for the purpose of development of the infrastructure of the Province of Sindh which was to directly benefit the petitioners as well. This rule was culled out from the judgment of the Supreme Court of Pakistan reported as *Pakistan Tobacco Company Ltd. v. Government of N.W.F.P* (**PLD 2002 SC 460**) which I now proceed to discuss.

58. The controversy in *Pakistan Tobacco Company Ltd.* was regarding section 11 of the Finance Act, 1997 by which a tobacco development cess was levied by the Province of N.W.F.P (Now Khyber Pakhtunkhwa). The levy was imposed on the movement of tobacco towards other Provinces. The petitioners brought a challenge to the tobacco development cess primarily on the basis of Article 151 of the Constitution. The Supreme Court of

Pakistan during the course of rendering that judgment, had its attention focused on sub-clause (a) of clause 3 of Article 151 of the Constitution. That clause, it will be recalled, restrains the Provincial Assembly from making any laws or taking any actions prohibiting or restraining the entry into, or the export from, the Province of goods of that class or description. The petitioners had contended that the tobacco development cess had imposed such a restrictions on the export of tobacco from the Province. The Supreme Court of Pakistan discussed the two judgments of Indian Supreme Court which have come to be recognized as the landmark judgments on Article 301 of the Indian Constitution which is *in pari materia* with Article 151. The crux of the conclusion drawn by the Supreme Court of Pakistan is encapsulated in paragraph 17 as under:

> *"17. The above discussion persuades us to hold that liberal and dynamic interpretation of the word 'free' does not mean an unqualified freedom at all in the trade, commerce and intercourse between the provinces because unchecked freedom in the trade, commerce and intercourse without any reasonable prohibition and restriction would not be beneficial for an orderly society inasmuch as even there would be lack of*

> *discipline and the Provincial administration would not be in a position to control trade and commerce prohibited/contraband articles, therefore, a qualified restriction if imposed up to the trade which has not financially burdened the traders and had also not impeded the flow of trade and commerce, would not be violative of the provisions of Article 151(1)(3), clause (a) of the Constitution. It may also be observed that as far as simpliciter levy of cess by the Provincial Government (N.W.F.P) on the movement of tobacco outside the Province that would not tantamount to placing any prohibition or restriction on the trade, commerce and intercourse between the Provinces…"*

59. It can be seen from a reading of the paragraph above that the Supreme Court of Pakistan kept a window open for exceptional circumstances in which trade, commerce and intercourse may be regulated. That qualified restriction was held to be such that it did not impose on the trade which financially burdens the traders and should not impede the flow of trade and commerce. These were significant goalposts settled by the Supreme Court of Pakistan. Therefore, as a necessary corollary, any law which imposed financial burdens on the trade or impeded the flow of trade and commerce was violative of Article 151 of the Constitution. Thus, this has to be viewed as the law laid down by the Supreme Court of Pakistan and on

the basis of which a challenge has to be seen. In the instant matters, it is clear that the still-head duty not only severally and fatally burdens the petitioners and financially and commercially makes them run out of competition but also impedes the flow of trade and commerce to their detriment and is tantamount to prohibition of the export from the Province of Punjab and the goods being manufactured by them to be caught by the mischief of sub-clause (a) of clause 3 of Article 151.

60. While at the subject, two judgments of the Karachi High Court which lay down the proper perspective with regard to these matters may also be referred to. In the first, reported as *Mirpurkhas Sugar Mills Ltd. v. District Council, Tharparkar and 2 others* (1990 MLD 317) a Division Bench of the Karachi High Court laid down the following rule:

> *"4. Examining Article 151 of the Constitution in this perspective it is to be observed that while clause (1) of Article 151 is, generally, worded, declaring trade, commerce and intercourse throughout Pakistan to be free, sub-clause (a) of clause (3) of Article 151 diverts a Provincial Assembly or a Provincial government of power to make any law or take any executive action prohibiting or restricting the entry into or export from the Province of goods of any*

class or description. Sub-clause (b) of clause (3) of Article 151, in relation to goods manufactured or produced in a province, makes I clear that imposition of a tax in respect of any such goods, which discriminates between such goods and goods not so manufactured or produced would involve contravention of the constitutional guarantee of freedom of trade, commerce and intercourse throughout Pakistan. No different results would follow if like restriction or imposition is made in exercise of delegated powers, for the rule is that what cannot be done directly cannot also be done indirectly. It would therefore, appear that such restriction or tax, whether imposed, directly, at the level of the provincial legislature or at a subordinate level in exercise of the delegated powers would unescapably, come in conflict with Article 151 Cl. (3) and all such persons as, ultimately, come to bear the burden of such a restriction or levy would require to be relieved of the same…"

61. In the above precedent, the Karachi High Court set aside the export tax/toll imposed on the petitioners and meant for destination outside the Province. This was done on the touchstone of Article 151 and the dictate in that Article that trade, commerce and intercourse throughout Pakistan shall be free.

62. The second judgment relied upon by the petitioners is *Mirpurkhas Sugar Mills Limited v. District Council, Tharparkar through Chairman and 3 others* (**1991 MLD 715**), which is a Division

Bench judgment authored by Salim Akhtar J., as he then was. The petitions involved a challenge to Rawangi Mahsool Tax and once again the basis was Article 151 of the Constitution. The relevant extracts of the judgment are reproduced as under:

> *" In this petition two questions are involved. Firstly, whether Rawangi Mahsool Tax offends against Article 151 of the Constitution and secondly whether Act II of 1990 is ultra vires the Constitution and validation as contemplated by this Act can be given in respect of export tax levied on goods exported outside the Province of Sindh. So far the first question is concerned it has been decided in Kotri Association of Traders v. Government of Sindh 1982 CLC 1252 that the export or Rawangi Mahsool Tax is void to the extent it imposes such tax on export from one province to another province…"*
>
> *"The inter-provincial trade and commerce has been declared to be carried on freely, unrestricted and unhampered except restrictions imposed by law made by Parliament in the public interest. The Provincial Assembly or Provincial Government is prohibited from making any law or taking any executive action imposing any restriction or prohibition on free flow of trade between the Provinces. The Provincial Assembly can legislate imposing reasonable restriction only in the interest of public or of morality or for protecting animals or plants or meeting the shortage in the Province of any essential commodity but even for making such laws it has to take consent of the President otherwise it will be an invaid piece of legislation."*
> *"… The object of Article 151 is to develop inter-provincial trade and commerce. It guarantees free flow of such trade which can*

> *be restricted in a limited manner in a larger public interest. In Indian Constitution Article 301, 302, 303, 304 and 305 embody the rule contained in Article 151 of our Constitution."*
>
> *"…Furthermore, we may observe that the restrictions, limitations, prohibition and permission in imposing a tax on inter-provincial trade and commerce are specifically mentioned in Article 151. It does not permit the Provincial Assembly to permit the imposition of tax affecting inter-provincial trade on the ground that it is intended to provide facilities or amenities which will improve the flow of trade. Even if such tax is in the larger interest of public as specified in Article 151 (4) it must have the consent of the President."*
>
> *"Rawangi Mahsool has been imposed on goods leaving the petitioner's factory whether they are to be delivered within the province or outside the province. Thus even those goods which are bound for other provinces are subjected to this tax. So far the tax on goods bound for any place within the province is concerned there is no dispute about its validity. But in respect of goods which are destined for any other area in Pakistan the Rawangi Mahsool will fall within the prohibitions imposed by Article 151…"*
>
> *"Therefore in our view the imposition of Rawangi Mahsool Tax and its recovery in respect of goods of the petitioner bound for delivery outside the Province of Sindh within the territory of Pakistan are illegal and without jurisdiction."*

63. One again, it can be seen that the basis of the judgment was simple and assertive. It was that no prohibition on inter-provincial trade and commerce could be imposed by a levy which has the effect of

taking away the freedom of movement envisaged by Article 151. The Karachi High Court in this judgment did not subscribe to the view that exception could be made with regard to an imposition which is for compensatory purpose. This judgment, in my opinion, lays down the essence and spirit of Article 151.

64. The provisions in the Indian Constitution dealing with the subject of trade, commerce and intercourse are Articles 301 to 305. Two judgments of the Indian Supreme Court have been cited as watershed cases in the matter of freedom of trade, commerce and intercourse. In the first, reported as *Atiabari Tea Co. Ltd. v. the State of Assam* (**AIR 1961 Supreme Court 232**) (relied upon by the learned D.A.G), it was observed that:

> *"In drafting the relevant Articles of Part XIII the makers of the Constitution were fully conscious that economic unity was absolutely essential for the stability and progress of the federal Polity which had been adopted by the Constitution for the governance of the country.*
>
> *It was realized that in course of time.... local or regional fears or apprehension raised by local or regional problems may persuade the State Legislatures to adopt remedial measures intended solely for the protection of regional interests without due regard to their effect on*

> *the economy of the nation as a whole. The object of Part XIII was to avoid such a possibility."*

65. In the second case viz. *Automobile Transport (Rajasthan) Ltd. v. State of Rajasthan* (**AIR 1962 SC 1406**), Justice Das, writing for the majority had these observations to make:

> *"...one question was how to achieve a federal economic and fiscal integration. The second question was to foster the development of areas which were under-developed without creating too many preferential or discriminative barriers... The evolution of a federal structure or a quasi-federal structure necessarily involved in the condition then prevailing; a distribution of powers and a basic part of our Constitution relates that distribution. The Constitution itself says by Article I that India is a Union of States and in interpreting the Constitution one must keep in view the essential structure of a federal or a quasi-federal Constitution, namely, the units of the Union have also certain powers as has the Union itself.*
>
> *Learned Judge further observed:*
>
> *"It has been often stated that freedom of inter-State trade and commerce in a federation has been a baffling problem to constitutional experts in Australia, in America and in other federal Constitution. In evolving an integrated policy on this subject our Constitutional makers seem to have kept in mind three main considerations – (1) in the larger interests of India there must be flow of trade, commerce and intercourse, both inter-State and intra-state; (2) the regional interests must be ignored altogether; and (3) there must be a power of intervention by the Union in any case of crisis to deal with particular problems that may arise in any part of*

> *India…all these three considerations have played their part in Articles in Part XIII".*

66. *Automobile Transport* case brought about a sea change in the view of the Supreme Court of Pakistan earlier taken in *Atiabari* case. The true scope of freedom of trade, commerce and intercourse as expressed in the Indian Constitution has been brought forth by *Basu in his Commentary on the Constitution of India (8th Ed. reprint 2012)* in the following manner:

> *"The expression "intercourse" means "commercial intercourse". According to eminent jurist H.M. SEERVAI, "Since Art. 301 is a fetter on legislative power, it must follow that there was some legislative power which required a fetter. In none of the legislative lists is "intercourse" by itself a subject of legislative power, although trade and commerce appear in all legislative lists. Therefore, "intercourse" must mean "commercial intercourse" and is covered by the legislative entries relating to trade and commerce.*
>
> *II. The freedom guaranteed by Art. 301 is, thus, not an absolute freedom. It will be infringed only if—*
>
> i. *a 'restriction' is imposed, as distinguished from a regulation which in reality facilitates trade, commerce or intercourse;*
>
> ii. *such restriction must directly and immediately affect the free flow of trade, commerce or intercourse;*

> iii. *such restriction must not be covered by any of the provisions in Arts. 302-5."*

67. It will be noticed that nuanced exception has been created while interpreting Article 301 by the Indian Supreme Court. This exception has also been established by the Supreme Court of Pakistan in *Pakistan Tobacco Co. Ltd.* That exception is only in the area of regulation by a measure which in reality facilitates trade, commerce or intercourse. And if the restriction is of such a nature that it directly and immediately affect the flow of trade, commerce or intercourse then it must be held to offend the provisions of Article 151. This is the true state of law which must be recognized to exist with regard to Article 151 of the Constitution. The Karachi High Court in *Quetta Textile Mills* and the Supreme Court of Pakistan in *Pakistan Tobacco Co. Ltd.* cases proceeded to uphold the imposition on precisely these grounds. These grounds, however, are conspicuously absent in the instant matter and the still-head duty is, in fact, an excise duty as per the Government of the Punjab's own showing and is not for the purposes of regulation or for providing services which in fact benefit the

petitioners. Absent that element, the levy is a prohibition and restriction which directly and immediately affects the free flow of trade, commerce and intercourse and must be held to be invalid.

68. This exception has also come to be recognized by the High Court of Australia. The subject of freedom of movement is dealt with under section 92 of the Constitution of Common Wealth of Australia. Section 92 uses the word 'absolutely free'. However, it has been conceded that it admits of some clarification. *(Freight Lines v. The State of N.S.W) (1967) 2 All E R 433 (PC).* It was held in Huges v. State of N.S.W, (1954) 3 All E R 607 that:

> *"A law which does not prohibit but merely regulates inter-province trade and commerce is not invalid".*

69. Similarly, charges for services have been held to be valid and not to impinge upon the rights guaranteed by section 92. In Freight Lines, it was held that "*inter-State goods cannot claim exemption from reasonable charges for the maintenance of public roads, aerodromes and the like.*"

70. The current view of the High Court of Australia has succinctly been set out by the authors of *The High Court, The Constitution and Australia Politics (Edited by Rosalind Dixon and George Williams)* as follows:

> *"Prior Courts had struggled to give a consistent meaning to the invocation in s 92 of the Constitution that interstate trade, commerce, and intercourse shall be 'absolutely free'. This produced a dense thicket of precedents that lacked logic and coherence. In 1986, Deane J observed that 'it is all but impossible to comprehend precisely what it is that authority has said' and 'few would deny that, somewhere along the line, things have gone wrong'. The Mason Court's response was bold and unanimous. It swept away some 140 prior High Court and Privy Council decisions on s 92 by imposing a new test under which a law offends s 92 if it imposes 'discriminatory burdens of a protectionist kind'."*

71. Thus in the United States, Judicial opinion of the Supreme Court shaped the meaning and scope of the power to regulate interstate commerce. The nature of the national commerce power was explicated while deciding cases concerning the validity of state laws under the dormant commerce clause. The power was held to inhere in the term 'proper and necessary' and in Article I, Section 8, and Chief Justice Marshall, in particular, gave a

broad reading to the powers of "Congress under the Commerce Clause.'

72. The Commerce power, in Marshall's opinion, was not to be restricted by the judiciary. His opinion in *Gibbons* found that the commerce power, "like all others vested in Congress, is complete in itself, may be exercised to its utmost extent, and acknowledges no limitations other than are prescribed in the Constitution."

73. The modern view of the commerce clause standards was set by *United States v Lopez, 514 U.S. 549 (1995)* and has been commented upon in the following words in Treaties on Constitutional Law, Ronald D. Rotunda and John F. Nowak (5th edition):

> *"Between 1937 and 1995 the scope of the federal government's power to regulate interstate commerce could be described in terms of two standards.*
>
> *First, the federal government could regulate activities, persons, products, or services across state lines. Federal regulations regarding interstate transportation or interstate activities would be upheld even though they constituted indirect regulation of single state activities, so long as these federal regulations did not violate a specific check on the power of the federal government, such as the restrictions contained in section 9 of Article I or the Bill of Rights.*

Second, Congress could regulate single state activities that had a close and substantial relationship to, or substantial effect on, interstate commerce. The federal government would be allowed to regulate those activities that had a substantial effect on interstate commerce. Additionally, under a combined necessary and proper clause and commerce clause analysis, the federal government could regulate single state activities in order to effectuate its regulation of interstate commerce."

"In 1995, the Court examined the extent of congressional power to regulate single state non-commercial activities. In Unites States v. Lopez, the Court, by a five to four vote of the Justices, invalidated a federal statute that prohibited carrying firearms near any school in the United States. The statute was not within the scope of congress's commerce clause power."

"Writing for the majority in Lopez, Chief Justice Rehnquist found that the federal judiciary should give less deference to congressional judgments that single state activities had a substantial effect on interstate commerce when those single state activities were not commercial in nature. Chief Justice Rehnquist's opinion stated: "We do not doubt that Congress has authority under the commerce clause to regulate numerous commercial activities that substantially affect interstate commerce and also affect the educational process. The authority, though broad, does not include the authority to regulate each and every aspect of local schools."

"It should be noted that the Chief Justice's majority opinion in Lopez constitutes a complete endorsement of Congress's power to regulate all activities, persons, or products that cross state boundaries. So long as a federal regulation relates to interstate transactions or interstate transportation, the federal regulation would be justified under the first two branches of the Lopez description of the federal interstate commerce power.

The Lopez majority opinion did not change the basis upon which the federal government could regulate single state activities. As was true in all of the cases since 1937, the Court held that

> *Congress could regulate single state activities that had a substantial effect on commerce. However, the Court created a distinction in Lopez regarding the degree of deference that the judiciary would give to Congress when determining whether a class of regulated single state activities had a substantial effect on interstate commerce. If the regulated single state activity is "commercial" in character, a majority of the Justices will continue to give great deference to Congress. Federal regulations of single state commercial activities will enjoy a presumption of constitutionality, so that they will be upheld as being within the commerce power so long as there is any rational basis on which Congress could have concluded that the activities have a substantial effect on interstate commerce. Federal regulation of single state activities that are not commercial in character will not be upheld unless the federal government can demonstrate to the Court that there is a factual basis for the conclusion that the single state activities, as a class, have a substantial effect on interstate commerce. Unfortunately, in Lopez, the Supreme Court majority provided no guidance regarding the principles that the judiciary should use when determining whether a single state activity that was subject to federal regulation in fact was "commercial" or "non-commercial" in character."*

74. This has been followed in the subsequent cases of *Reno v Condon, 528 U.S. 141 (2000)* and *Gonzales v Raich, 545 U.S. 1 (2005).*

75. Article 151 is certainly a leaf out of the US Constitution. While the sweep of the commerce clause in the U.S was determined by the U.S Supreme Court, by Judicial reach and blazing a new trial, the meandering jurisprudence of the U.S Supreme Court served as an axiom of experience for

the framers of Article 151. Clause (2) gives expression to the distilled experience of the interpretation of 'necessary and proper' clause by the U.S Supreme Court and thus, by clear intent, reposed all power to make law to impose such restrictions on the freedom of trade, commerce and intercourse between one province and another or within any part of Pakistan, in the Parliament. Lest there be any ambiguity, clause (3)(a) was inserted. By this clause, a Provincial Assembly or Provincial Government is prohibited from making any law or taking any executive action, prohibiting or restricting the entry into or the export from the Province of goods of any class or description.

76. The instant in my opinion, is a case covered by clause (1) and (2) and thus within the exclusive realm of the Parliament. The impugned Notification tramples upon the mandate of clause (3)(a) and must be held to be void to that extent. Although the present petitions do not broach the issue of the levy being in the nature of compensatory levy, in lieu of services, the standard, in all cases, must be one reaffirmed in Lopez by the U.S

Supreme Court. First, it is the Parliament, to the exclusion of Provincial Assemblies which could regulate commerce across Provincial lines. Second, the Parliament can regulate single Province activities (including fee for services etc.) that have a close and substantial relationship to, or substantial effect on, inter-Province commerce. "The Chief Justice's opinion in Lopez indicated that the Federal Judiciary would continue to give great deference to a congressional determination that a class of single state commercial activities had a substantial affect on interstate commerce". *(Treaties on Constitutional Law, Ronald D. Rotunda and John E. Nowak, fifth edition).* And the Australian experience has yielded the standard of 'discriminatory burdens of a protectionist kind'. While the American and Australian interstate commercial concepts have largely been evolved by the Courts, our Constitution is emphatic in taking away all powers from a Provincial Assembly to make any law or a Provincial Government to take any executive action which causes the prohibition or restriction on imports or exports. These cannot be a greater restriction than the imposition of a tax which places a 'discriminatory burden' on those goods. That discrimination is accentuated by the fact that similar goods being imported into the Province of Sindh from other Province are not subject to the same tax and are thus at a clear advantage with regard to the ultimate price at which they are sold in the market.

77. The contexture of Article 151 is better understood if the said Article is read in harmony with Articles 141 and 142 of the Constitution. These provisions are the fountainhead of all powers to legislate vesting in the legislature, be it Parliament or Provincial. The interplay of Articles 141 and 142 with Article 151 will bring into sharp focus, in greater degree, what Article 151 epitomises. As stated above, entries in the fourth schedule of the Constitution are merely fields of legislation and must be construed as such. The source of the power emanates from Articles 141 and 142. Article 141 delineates the periphery of the powers of the Parliament as also the Provincial Assembly. It reads as follows:

> ***"141. Extent of Federal and Provincial laws.--*** *Subject to the Constitution, [Majlis-e-Shoora*

> *(Parliament)] may make laws (including laws having extra-territorial operation) for the whole or any part of Pakistan, and a Provincial Assembly may make laws for the Province or any part thereof."*

78. Article 141 brings forth the concept of limited powers. It is clear that the Parliament may make laws for the whole or any part of Pakistan and a Provincial Assembly may make laws for the Province or any part thereof. Thus laws, as a necessary corollary, which have an extra-territorial or Inter-Provincial operation are beyond the competence of a Provincial Assembly and reside within the Parliament's remit. To put it differently, laws which have an operation across the territory of a Province are beyond the scope of Article 141 and, in case these impact freedom of trade, commerce and intercourse, those impinge upon the right guaranteed by Article 151 and must be held as action *extra jus*. Article 151 is the application of the doctrinaire basis of legislative powers given in Articles 141 and 142 to a particular situation so that commerce may not be hampered. This may, in turn, threaten the concept of federalism which is the bedrock and fundamental sinew of our constitutional scheme.

79. In view of what has been adumbrated, these petitions are accepted. The impugned Notification runs counter to the freedom of trade rule embodied in Article 151 of the Constitution and is thus declared *ultra vires* and without lawful authority and is set aside as a consequence.

(Shahid Karim)
Judge

Announced in open Court on 27.06.2016.

Approved for reporting.

JUDGE

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Rafaqat Ali